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Enterprise Valuation Group

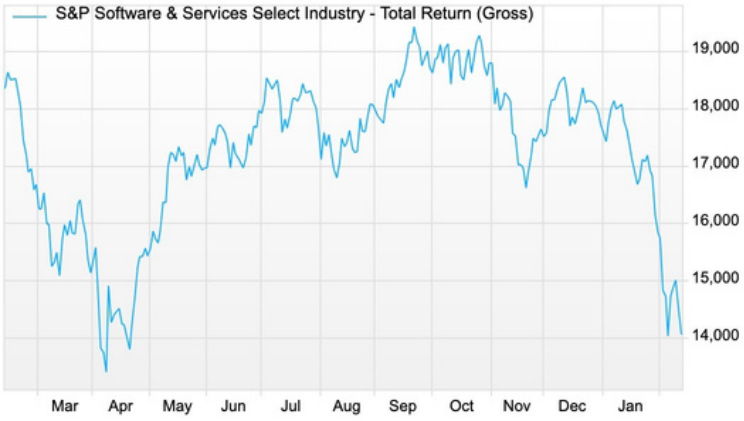
WEEKLY NEWSLETTER

MARKETS | TRADES | TECHNICALS

SAASPOCALYPSE 2026: IS AI EATING SOFTWARE?

Software just had its hardest crash since the GFC: the past quarter saw a 27% decline in the S&P Software and Services index. The index (SPSISS) just traded down to roughly 20x forward earnings, a sharp reset from the mid-20s to 30x+ multiples of the cloud boom as investors reprice the entire SaaS complex. CIOs are diverting marginal budget from incremental SaaS seats to AI infrastructure, while even "AI-enabled" software names are seeing margin pressure because large-scale AI is fundamentally a roughly 50% gross margin game. Many vendors are stuck in a pricing mismatch: they pay usage-based AI opex to hyperscalers but still charge legacy per-seat SaaS pricing, compressing unit economics as adoption ramps.

At the same time, AI is attacking the cost side of software: tools like OpenAI's code models and Claude-style assistants are pushing the marginal cost of new code toward zero, so the "niche tool for every workflow" era is giving way to internal LLMs wired directly into proprietary datasets. Yet the obvious AI revenue winners are not fully rewarded because rising infra capex is siphoning off free cash flow, and the market now wants to see durable margins, no longer just top-line AI stories, to pay hypergrowth multiples.



Over the long run, however, software doesn't disappear: SaaS still needs continuous development and maintenance, plus the compliance, integrations, and workflow features that turn models into complete, defensible products. Our investment thesis is birufication. Mission-critical platforms and deeply embedded enterprise suites should be able to sell high-value, AI-integrated full-stack solutions, while narrow, vertically siloed SaaS point solutions are at risk of being "eaten" by LLMs. Some trade ideas for the next quarter:

- single-name selection or custom baskets of "AI winners vs losers" in software,
- Buy the dip in structural AI infrastructure leaders such as Nvidia, Microsoft, and Google
- As we move past earnings season, sell vol, such as short straddles or strangles, on tech

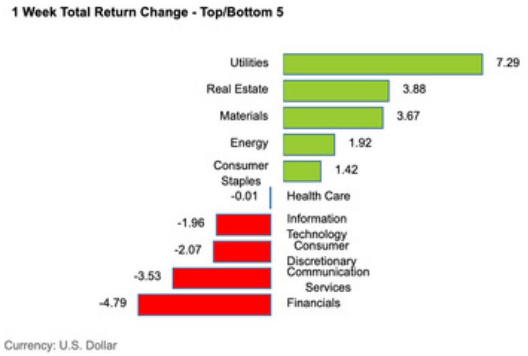
MARKETS UPDATE

EQUITIES

Earnings season is well underway, with roughly 60% of S&P 500 constituents now reported and Q4 2025 shaping up as another solid, above-trend quarter for profits. Blended EPS growth is tracking in the high-single to low-teens range, marking a fifth consecutive quarter of double-digit earnings growth if current trends hold.

Q4 earnings have been resilient rather than spectacular, with S&P 500 profit growth running around 8%–13% YoY and breadth again skewed toward Tech, Communication Services, Financials, Industrials and select Healthcare, while more rate- and goods-sensitive areas like Staples and parts of Real Estate continue to lag. A high share of companies are clearing a lowered bar, with roughly three-quarters of reporters beating EPS expectations and revenue surprises also tracking above long-run averages, underscoring that the "soft landing" narrative is still being underwritten by earnings.

The pattern remains one of an economy powered by AI-driven capex, cloud and digital infrastructure, and higher-income services demand, set against a more fragile backdrop for lower-income and rate-sensitive consumers. Large platforms and data-rich incumbents are leaning into an AI capex super-cycle: Alphabet, for example, just posted a strong Q4 with 2025 capex already near the mid-$90bn area and guidance for an even larger AI infrastructure build in 2026, reinforcing the idea that hyperscaler spend will remain a key profit driver for semis, power equipment and select industrials.



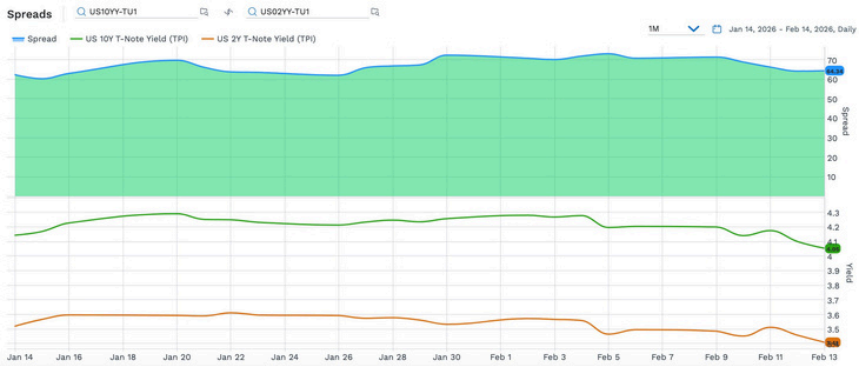
	P/E LTM	P/E CY1	P/E CY2	P/E NTM	PSales	PBV	PCF	EV/EBITDA	EV/Sales	Div Yield
S&P 500	27.31	25.25	22.10	21.74	3.36	5.37	18.19	18.32	4.06	1.10
Information Technology	36.10	32.15	24.61	24.10	9.08	12.30	28.39	25.19	9.21	0.53
Financials	17.58	16.59	15.18	14.98	2.73	2.27	11.37	14.70	4.67	1.46
Communication Services	23.31	23.80	21.62	21.28	4.71	5.46	14.26	14.34	5.12	0.62
Consumer Discretionary	35.11	31.81	28.96	28.46	2.98	8.74	18.94	19.06	3.15	0.59
Health Care	24.01	20.57	19.32	19.02	1.71	5.29	19.45	16.69	2.53	1.59
Industrials	28.96	29.92	26.82	26.38	3.15	7.38	22.49	20.32	3.48	1.09
Consumer Staples	28.54	27.20	25.49	25.25	1.76	7.58	20.19	17.74	1.96	2.02
Energy	21.04	20.47	20.74	20.32	1.67	2.30	9.70	9.73	1.94	2.79
Utilities	23.04	21.32	19.46	19.25	3.07	2.50	10.52	13.67	5.20	2.59
Materials	27.88	27.13	21.62	21.29	2.62	3.49	17.10	14.46	3.05	1.60

Source: FactSet Market Aggregates

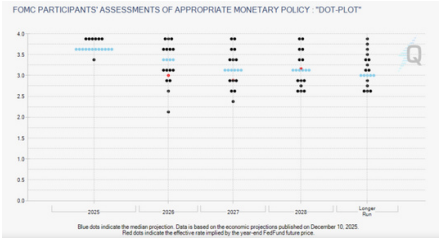
- TMT: Microsoft (**MSFT**) -10% due to concerns about Azure revenue growth; Meta Platforms (**META**) +10% due to clearer evidence of AI boosting ad revenue
- Financials: JPMorganChase (**JPM**) -4.2% on EPS miss and concerns to a proposed 10% credit card interest cap, Citizens Financial (**CFG**) + 5.7% on a clean beat on earnings and revenue across divisions
- Industrials: 3M (**MMM):** -8.8% due to weak consumer demand, Dover Corp (**DOV**) +14% driven by liquid cooling segment
- Healthcare: UnitedHealthcare (UNH) -19.6% due to anticipated Medicare Advantage headwinds, Eli Lilly (LLY) +9.1% on massive beat and raise, overshadowing Novo Nordisk's guidance
- Consumer: Starbucks (SBUX) +5% after signaling a rebound in US demand, Protecter & Gamble (PG) -2% on a slight revenue miss and a fifth consecutive quarter of GM decline linked to tariffs and consumer price sensitivity
- Oil & Gas Chevron (CVX:) +3% driven by a 20% surge in production from a recent acquisition and the Permian megaproject

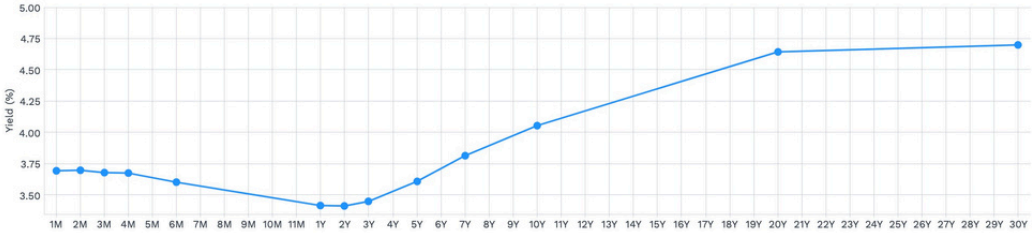
RATES

U.S. Treasury yields ended the week slightly lower, but the path to get there was volatile. Markets were driven by two delayed releases from the Bureau of Labor Statistics: the jobs report on Wednesday and inflation data on Friday. Midweek, investors were caught off guard when payroll growth came in stronger than expected and unemployment held around 4.3%. Even though older employment figures were revised downward, traders focused on the idea that a resilient labor market could give the Federal Reserve less urgency to cut interest rates, pushing yields higher.



By the end of the week, however, a slightly softer reading on the Consumer Price Index helped calm those fears and brought yields back down. leaving markets to keep debating the timing of future Fed rate cuts. In the meantime, expectations can shift quickly, which made for large swings day to day even though the week ultimately finished in a relatively stable place.





FX

GBP/USD – 1.3651 (+0.26%) Sterling was broadly stable against the dollar. However, trading was influenced by domestic political uncertainty and sluggish growth signals, with UK Q4 GDP coming in around +0.1%.

EUR/USD – 1.1868 (+0.44%) Markets are pricing that the Fed is closer to cutting than earlier in the year but still slightly more hawkish than the ECB, keeping some USD carry advantage. At the same time, Eurozone data show weak but positive growth, so EUR has stabilized rather than collapsing, leading to a relatively tight range.

USD/CHF – 0.7679 (-1.04%) The franc outperformed early in the week alongside the yen. While Swiss inflation remains subdued (0.1% y/y in January), maintaining a dovish policy environment, CHF continues to react strongly to safe-haven demand and overall dollar direction.

AUD/USD – 0.7073 (+0.94%) The Australian dollar found support from the RBA's early-February tightening cycle. Reuters noted this has helped keep the currency near multi-year highs despite periodic day-to-day pullbacks.

USD/JPY – 152.70 (-2.87%) Price action was characterized by steady downside pressure and consistently large daily ranges. Reuters attributed much of the yen's strength to Japan's domestic political backdrop, particularly dynamics surrounding the election victory of Sanae Takaichi.

USD/CAD – 1.3617 (-0.27%) Initial Canadian dollar strength appeared driven by positioning, with speculators turning net long, as well as sensitivity to oil prices. Reuters linked Monday's move to broader USD weakness and firmer crude amid U.S.–Iran supply-risk concerns.

FX Story of the Week: Dollar-Yen

USD/JPY was this week's defining move, sliding almost 3%. Many linked the move to political news after Sanae Takiachi's election victory, which prompted investors who had been betting on a weaker yen to reduce those positions. As those trades were closed out, the decline in USD/JPY accelerated.

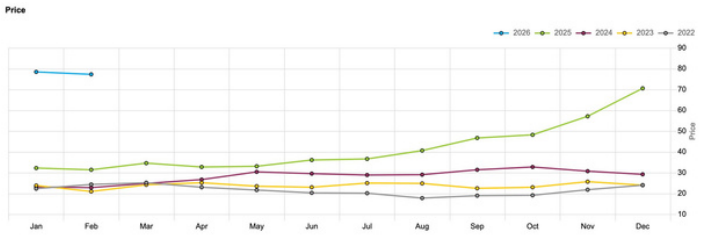
Although political developments triggered a sharp bout of yen buying, Japan's border economic backdrop means Japanese policymakers may not mind a gradually weaker yen. A softer currency can help the country's exporters, increase the value of profits earned abroad, and push inflation higher in an economy that has struggled with very low price growth.

Shifts in policy from the Bank of Japan may seem distant, but they carry real consequences for the United States economy. For years, low Japanese interest rates pushed investors to seek higher returns abroad, making them major buyers of U.S. Treasury bonds and other American assets. If yields at home become more attractive, even modestly, some of that capital can stay in Japan. Reduced foreign demand for Treasuries would pressure bond prices and push yields higher, effectively tightening financial conditions without any action from the Federal Reserve.
Rising yields can filter through quickly to households and businesses via higher mortgage rates, more expensive corporate borrowing, and increased competition for stocks from safer fixed income returns. At the same time, currency adjustments tied to Japanese normalization could weaken the dollar, supporting U.S. exports but potentially adding complexity to the inflation outlook.

Commodities

Silver at $80/oz

Supply: The Silver Institute and related reports show a multi-year market deficit (five years running, with a cumulative shortfall around 800M oz since 2021).
London market tightness (low visible inventories, higher lease rates) has amplified momentum moves and encouraged retail speculation, albeit recent dips have squeezed out froth.



Demand: Solar PV alone is now 15–20% of global silver consumption; with global solar capacity heading toward ~665 GW in 2026, that's 120–125M oz of structural demand. EVs consume ~70% more silver per vehicle than ICEs; the Silver Institute projects auto-sector silver demand growing at a ~3.4% CAGR through 2031 as EVs and charging infrastructure scale. Additional pull comes from electronics, semis, and data-center/AI build-out, which all require high-conductivity material.

Copper at $6/lb (~$13000/KT)

Demand: Incremental pull from AI data centers, grid upgrades, EVs, and broader electrification; estimates put 2026 incremental demand from these themes at >1.5M tons.

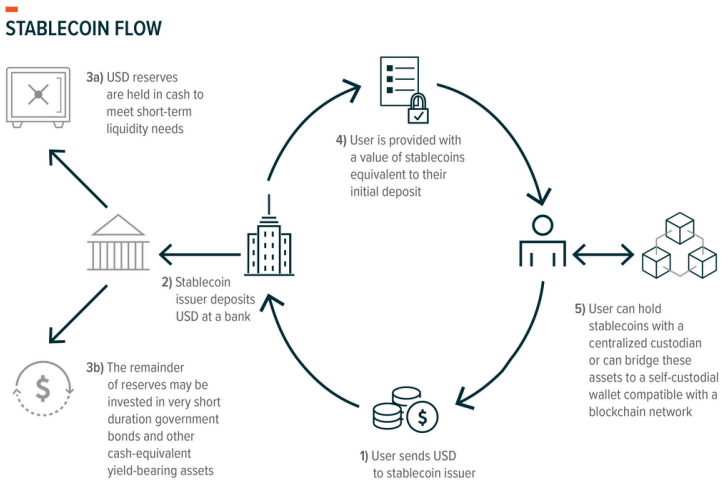
Supply: Disruptions in Indonesia and Chile (e.g., Grasberg) have tightened refined supply; lingering underinvestment in new mines creates a structural deficit (~330k-ton shortfall projected for 2026).
U.S. tariff uncertainty has prompted precautionary stock-building, adding to near-term tightness.

WTI and BRENT at $59-60/BBL

S***upply:*** easing Middle East risk premium means supply side is comfortable short term, and investment banks see downside risk through 2026 before any structural undersupply story kicks back in.
Demand: demand is still growing, but slower and EM_led while OCD consumption is slightly down.

CRYPTO CORNER

A stablecoin is a tokenized dollar (or euro) issued on a blockchain and backed by cash and short-term government bills. You still have the economic exposure of fiat, but you move it with crypto settlement: 24/7, near-instant, globally, and at very low cost. The technological agility with the certainty of fiat pegging creates a "room-temperature superconductor".
The first and most ubiquitous win is payments, especially across borders. Today's SWIFT-based system relies on multiple correspondent banks working across time-zone cut-offs through batch processing. Stablecoins compress this to seconds and fractions of bips, and because they're programmable, you can layer in things like automatic payroll, subscriptions, and conditional payouts without needing five intermediaries.



Institutions see similar gains. When a bank or large corporate uses a tokenized dollar for internal settlement, such as JPM Coin or euro-denominated "deposit tokens", they increase capital efficiency. By settling trades, internal transfers, or cross-border flows in minutes instead of T+2, firms release cash, reduce counterparty exposure, and simplify operations. This is why big banks and payment processors are quietly building their own stablecoin-like rails.

Beyond payments, stablecoins enable use cases that are not traditionally viable. Micropayments are one: pay-per-article, per-API call, or per-GPU-minute for AI. Card networks and wire systems are too expensive and clunky at that granularity; tokenized dollars with smart contracts are not. In a world where AI agents and software talk to each other constantly, we need a low-friction, programmable way to move tiny amounts of value, and stablecoins are a near-ideal solution.

They also matter for people in jurisdictions with weak currencies and capital controls. Holding a reputable dollar stablecoin is, in practice, a cheap synthetic way to park savings in short-term Treasuries from almost anywhere with a smartphone, which is ultimately a powerful tool for financial inclusion.
In conclusion, tablecoins exist because they turn fiat into something that behaves like an internet protocol: fast, programmable, and global. Next week, look forward to a briefer on the evolution of stablecoin regulation, particularly on why the CEOs of Coinbase and Circle just had a huge fight over the CLARITY act.

TECHNICALS CORNER

INVESTMENT BANKING

When a company borrows $100 of debt to issue stock, how do enterprise value and equity value change?

SALES AND TRADING

What's the difference between Macaulay duration and modified duration?

BRAIN TEASER

How many soccer balls can fit into Morgan Stanley's headquarters?